



**We are closely monitoring the current trends across air traffic, train passengers as well as the economic situation. Based on all these factors and various demand estimates, we are working on new routes and flights**

**RONOJOY DUTTA**  
CEO, INDIGO



**The potential it [India] has is very different from most countries in Southeast Asia. The closest perhaps is Indonesia, which is a market of about 250-300 million people, with a lot of young people wanting to travel**

**VINOD KANNAN**  
CEO, VISTARA



**Incentives and reforms [from the government for the sector] and lowering barriers will have to be done comprehensively across the entire sector—aviation fuel, GST and lease taxes, customs, airports and so forth**

**G.R. GOPINATH**  
FOUNDER, AIR DECCAN



**Our initial network focus will be to serve metros to Tier II and III cities. So, in that respect, Bengaluru, Delhi, Mumbai, etc., will be important focus cities for us. We expect to have clarity in the coming months...**

**VINAY DUBE**  
CEO, AKASA AIR

owner—the Kalrock-Jalan consortium—has recently appointed former Vistara Chief Strategy and Commercial Officer Sanjiv Kapoor as CEO, and former Sri Lankan Airlines CEO Vipula Gunatilleka as CFO. “A successful transition [of Jet] would also be an important milestone in showcasing the effectiveness of the Indian Insolvency & Bankruptcy Code (IBC),” observes Link Legal’s Singh. The airline is looking at returning as a premium FSC, retaining its original branding, livery and logo. According to market sources, the airline may be looking at acquiring up to 100 narrow-body jets.

“Once these two airlines see a smooth take-off and passengers start evaluating and comparing them with existing players, we could see the competitive heat rising,” says Deepak Jasani, Head of Retail Research, HDFC Securities. The market is also expecting Go First (formerly GoAir) to finally list on the bourses this year. Last December, the Nusli Wadia-backed LCC’s plans to raise ₹3,600 crore were put in abeyance due to the Omicron wave of the coronavirus pandemic. “Whilst demand is reviving, increasing competitive intensity, apart from high ATF, would [reflect on] profitability, implying requirement of funds to sail through the situation,” says Ambit’s Khanna. Having postponed listing a couple of times in the past, Go First is thus expected to firm up a date only after carefully assessing the market sentiment.

**T**IER II AND III cities are expected to contribute to the next round of growth in aviation. Among scheduled airlines, IndiGo and SpiceJet are already among the country’s largest regional players, operating 72 daily flights each under the UDAN scheme.

Then there are the small regional carriers. Founded in 2020, Indore-headquartered FlyBig currently serves 15 destinations in Tier II cities in West, Central, South and North-East India with ATR 72-500 turboprop aircraft. “There is a tremendous shift happening in passenger profile, with a lot of middle-and-working-class people taking flights due to the time factor, affordable UDAN fares and Covid-19, where a lot of people wish to avoid other modes of public transport,” says FlyBig’s MD Sanjay Mandavia. “Also, increased reliance on the internet economy means that people no longer need to be in big cities to earn a living. They can use their savings to travel by air.”

Ahmedabad-based regional carrier IndiaOne Air will launch operations in a few weeks from Odisha with a fleet of 14-seater Cessna Grand Caravan EX. “All airports in Tier I cities are operating at maximum capacity whereas airports in Tier II and III cities are either underserved or unserved,” remarks Arun Singh, CEO. “In April 2015, on average 99,600 passengers travelled exclusively between Tier I cities. Traffic involving at least one leg with Tier II or III city was 118,300, daily. In December